

India: AI Tracker: AI adoption and its impact on India's labour market

We are launching the India Gen-AI Tracker on the back of our report, [Gen-AI in India: Productivity tailwinds, Jobs crosswinds](#), to monitor high-frequency indicators of AI adoption, impact on labour markets, labour productivity and services exports.

Mentions of 'AI' in company management commentary continue to broaden across corporate India: Mentions of 'AI'¹ in management commentary have risen sharply across Indian corporates over the past two years, not just in Information Technology (IT) but increasingly across other sectors as well ([Exhibit 1](#)). Within our sample of the top 100 listed companies across each of the 11 GICS sectors² the trend has broadened, with notable increases in financials and healthcare ([Exhibit 2](#)).

Mentions of 'job cuts' and 'employee attrition' peaked in the technology sector in end-2024 and has declined since then, while mentions have gradually increased in other sectors (like consumer discretionary and financial services) over the last two years ([Exhibit 3](#) and [Exhibit 4](#)).

Hiring intentions in sectors most exposed to AI-related substitution risks have improved this year: We use the [Naukri JobSpeak Index](#) which tracks trends in India's hiring intentions based on new job postings, and aggregates data from over 150,000 companies. Corporate sector hiring intentions in sectors most exposed to AI-related substitution risks (by our [framework](#)) have improved over the last six months ([Exhibit 5](#)). In addition, hiring intentions in IT software services have remained stable ([Exhibit 7](#)).

Early productivity gains are visible: Sales-to-staff costs ratio has improved across both IT and non-IT services firms³, with IT services firms scaling a six-year high in Q4 CY25 ([Exhibit 6](#)).

Hiring intentions in three major GCC cities remain resilient: Corporate sector hiring intentions in Bangalore, Hyderabad and Chennai — cumulatively accounting for around 56% GCC employees remain resilient, while it has declined in Mumbai and Delhi ([Exhibit 8](#)).

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¹ We specifically include the words: 'AI and Machine Learning', 'Automation' and 'Generative AI'.

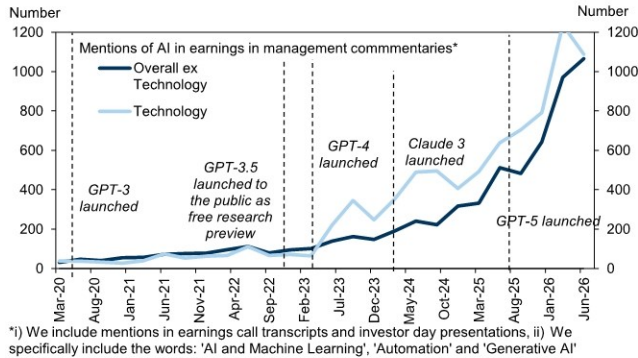
² We include companies from Technology, Financials, Telecommunications, Industrials, Consumer Discretionary, Health Care, Materials, Energy, Consumer Staples, Utilities and the Real Estate sector.

³ We use the data published by the RBI covering around 208 IT services companies and 984 non-IT services companies

AI tracker: Tracking AI adoption and its impact on India's labour market

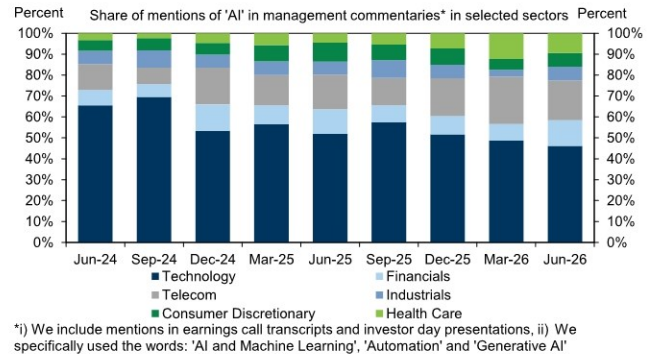
Mentions in company management commentary

Exhibit 1: Mentions of AI have significantly increased in management commentaries over the last two years



Source: Bloomberg, Goldman Sachs Global Investment Research

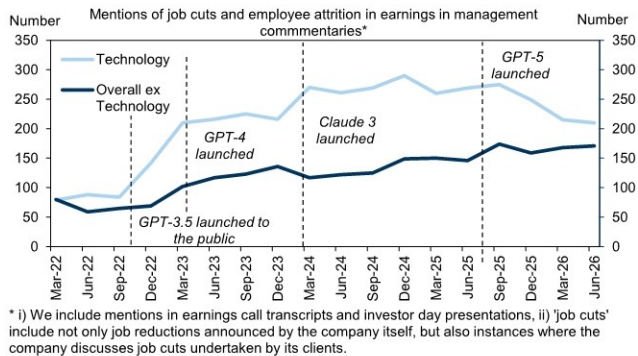
Exhibit 2: Share of mention of AI in management commentaries of the tech sector have declined while others have increased



Source: Bloomberg, Goldman Sachs Global Investment Research

Impact of AI on India's labour market and productivity

Exhibit 3: The mentions of job cuts and employee attrition have declined in technology sector firms after peaking in end 2024; while it has increased in other sectors



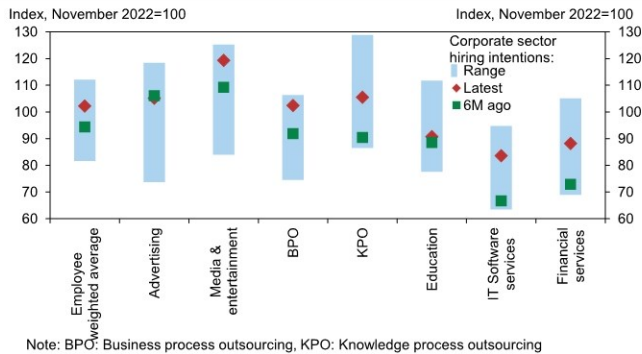
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 4: Mention of job cuts in the tech sector have declined over the last year though it remains the highest among sectors



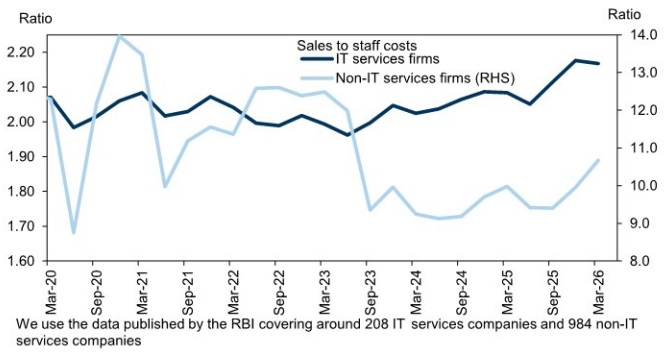
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 5: Hiring intentions in the sectors most exposed to AI-related substitution risks have improved over the last six months



Source: CEIC, Goldman Sachs Global Investment Research

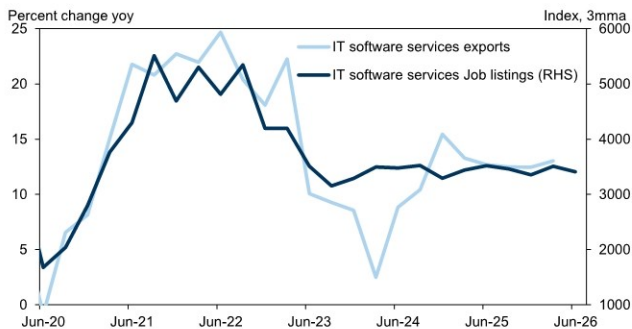
Exhibit 6: Labour productivity in IT services firms had scaled a six-year high in Q4 CY25



Source: RBI, Goldman Sachs Global Investment Research

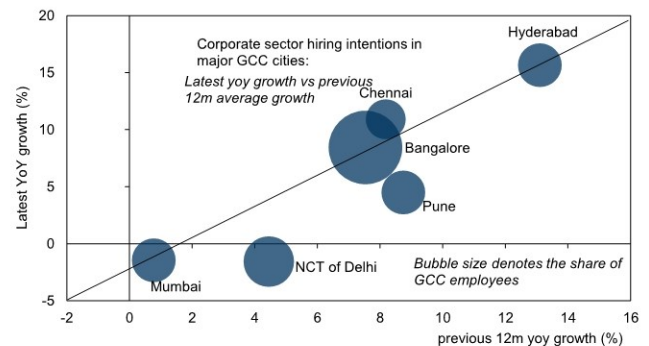
Services exports and GCCs

Exhibit 7: IT software services job listings remain stable



Source: CEIC, RBI, Goldman Sachs Global Investment Research

Exhibit 8: Corporate sector hiring intentions have held up across India's three major GCC cities – Bangalore, Hyderabad and Chennai while it has declined in Mumbai and Delhi



Source: CEIC, Goldman Sachs Global Investment Research

Disclosure Appendix

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